

**THE YOUNGSTOWN EDISON
INCUBATOR CORPORATION dba
YOUNGSTOWN BUSINESS INCUBATOR**

FINANCIAL REPORT

DECEMBER 31, 2024 and 2023



THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

CONTENTS

	<u>Page</u>
INDEPENDENT AUDITORS' REPORT ON THE FINANCIAL STATEMENTS	1-2
FINANCIAL STATEMENTS	
Statements of financial position	3
Statements of activities	4-5
Statements of functional expenses	6-7
Statements of cash flows	8
Notes to financial statements	9-14
UNIFORM GUIDANCE AUDIT REQUIREMENTS	
Schedule of expenditures of federal awards	15
Notes to schedule of expenditures of federal awards	16
Independent auditors' report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with Government Auditing Standards	17-18
Independent auditors' report on compliance for each major program and on internal control over compliance required by the Uniform Guidance	19-21
Schedule of findings and questioned costs	22-24
Corrective action plan	25



+ 1111 Superior Avenue, Suite 700, Cleveland, Ohio 44114

+ p 216.363.0100 | f 216.363.0500

+ www.maloneynovotny.com

Independent Auditors' Report

Board of Directors
The Youngstown Edison Incubator Corporation
dba Youngstown Business Incubator
Youngstown, Ohio

Opinion

We have audited the financial statements of The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator (a non profit organization), which comprise the statements of financial position as of December 31, 2024 and 2023, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Youngstown Business Incubator as of December 31, 2024 and 2023, and the changes in its net assets and cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America ("GAAS") and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audits of the Financial Statements section of our report. We are required to be independent of Youngstown Business Incubator and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Youngstown Business Incubator's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditors' Responsibilities for the Audits of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but it is not absolute assurance and, therefore, is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Youngstown Business Incubator's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Youngstown Business Incubator's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audits, significant audit findings, and certain internal control related matters that we identified during the audits.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations ("CFR") Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated in all material respects in relation to the financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated September 9, 2025 on our consideration of Youngstown Business Incubator's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Youngstown Business Incubator's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Youngstown Business Incubator's internal control over financial reporting and compliance.



Cleveland, Ohio
September 9, 2025

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENTS OF FINANCIAL POSITION

December 31, 2024 and 2023

	<u>2024</u>	<u>2023</u>
ASSETS		
Current Assets		
Cash and equivalents	\$ 565,115	\$ 878,155
Accounts receivable, net of credit losses of \$1,473 and \$80,138, respectively	504,246	369,280
Accounts receivable - grants	1,259,194	420,524
Pledges receivable, net	100,000	-
Prepaid expenses	48,032	29,782
Total current assets	<u>2,476,587</u>	<u>1,697,741</u>
Noncurrent Assets		
Pledges receivable, net	112,672	-
Partnership interest	50,000	50,000
Property and equipment, net	13,663,523	11,789,358
Total other assets	<u>13,826,195</u>	<u>11,839,358</u>
Total assets	<u>\$ 16,302,782</u>	<u>\$ 13,537,099</u>
Liabilities		
Current Liabilities		
Lines of credit	\$ 732,546	\$ 174,000
Accounts payable - operations	164,194	289,383
Grants payable	48,862	97,294
Other accrued expenses	177,286	11,492
Deferred revenue	2,950	360,681
Current portion of long-term debt	58,674	54,739
Total current liabilities	<u>1,184,512</u>	<u>987,589</u>
Long-Term Debt, less current portion	<u>771,906</u>	<u>830,304</u>
Total liabilities	1,956,418	1,817,893
Net Assets		
Without donor restrictions	13,535,775	11,281,798
With donor restrictions	<u>810,589</u>	<u>437,408</u>
Total net assets	<u>14,346,364</u>	<u>11,719,206</u>
Total liabilities and net assets	<u>\$ 16,302,782</u>	<u>\$ 13,537,099</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENT OF ACTIVITIES

Year Ended December 31, 2024

	Without Donor Restrictions	With Donor Restrictions	Totals
REVENUES			
Grants	\$ 5,432,872		\$ 5,432,872
Contribution income	419,859	\$ 678,072	1,097,931
Program services	520,788		520,788
Rental income	616,045		616,045
Miscellaneous	18,262		18,262
Net assets released from restrictions	<u>304,891</u>	<u>(304,891)</u>	<u>-</u>
Total revenues	7,312,717	373,181	7,685,898
EXPENSES			
Program services	4,119,113		4,119,113
Management and general	561,339		561,339
Fundraising	<u>378,288</u>		<u>378,288</u>
Total expenses	<u>5,058,740</u>		<u>5,058,740</u>
INCREASE IN NET ASSETS	2,253,977	373,181	2,627,158
NET ASSETS – BEGINNING	<u>11,281,798</u>	<u>437,408</u>	<u>11,719,206</u>
NET ASSETS – ENDING	<u>\$ 13,535,775</u>	<u>\$ 810,589</u>	<u>\$ 14,346,364</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENT OF ACTIVITIES

Year Ended December 31, 2023

	Without Donor Restrictions	With Donor Restrictions	Totals
REVENUES			
Grants	\$ 2,385,394		\$ 2,385,394
Contribution income	337,043	\$ 629,768	966,811
Program services	296,324		296,324
Rental income	649,378		649,378
Miscellaneous	22,922		22,922
Net assets released from restrictions	<u>205,817</u>	<u>(205,817)</u>	<u>-</u>
Total revenues	3,896,878	423,951	4,320,829
EXPENSES			
Program services	3,654,693		3,654,693
Management and general	516,632		516,632
Fundraising	<u>324,628</u>		<u>324,628</u>
Total expenses	<u>4,495,953</u>		<u>4,495,953</u>
(DECREASE) INCREASE IN NET ASSETS	(599,075)	423,951	(175,124)
NET ASSETS – BEGINNING	<u>11,880,873</u>	<u>13,457</u>	<u>11,894,330</u>
NET ASSETS – ENDING	<u>\$ 11,281,798</u>	<u>\$ 437,408</u>	<u>\$ 11,719,206</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENT OF FUNCTIONAL EXPENSES

Year Ended December 31, 2024

	<u>Program Services</u>	<u>Management and General</u>	<u>Fundraising</u>	<u>Totals</u>
Salaries and wages	\$ 1,302,724	\$ 259,740	\$ 66,734	\$ 1,629,198
Employee benefits	143,530	23,188	2,353	169,071
Payroll taxes	<u>114,658</u>	<u>22,057</u>	<u>5,817</u>	<u>142,532</u>
Total payroll expenses	1,560,912	304,985	74,904	1,940,801
Depreciation	566,614	110,337	27,180	704,131
Grants	613,545			613,545
Dues and subscriptions	51,709	9,996	2,462	64,167
Equipment rental and maintenance	14,223	2,770	682	17,675
Professional fees	720,303	21,877	5,604	747,784
Insurance	45,096	8,782	2,163	56,041
Credit loss expense	17,117	3,333	821	21,271
Marketing and promotion			237,626	237,626
Miscellaneous	9,621	1,873	582	12,076
Occupancy	358,179	69,749	17,181	445,109
Supplies	7,188	1,426	351	8,965
Telephone	10,601	2,064	509	13,174
Real estate tax	28,013	5,455	1,344	34,812
Training and seminars	32,269	2,546	2,702	37,517
Meals	18,286	3,403	1,039	22,728
Interest expense	<u>65,437</u>	<u>12,743</u>	<u>3,138</u>	<u>81,318</u>
Total	<u>\$4,119,113</u>	<u>\$ 561,339</u>	<u>\$ 378,288</u>	<u>\$5,058,740</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENT OF FUNCTIONAL EXPENSES

Year Ended December 31, 2023

	<u>Program Services</u>	<u>Management and General</u>	<u>Fundraising</u>	<u>Totals</u>
Salaries and wages	\$ 1,010,358	\$ 212,470	\$ 60,164	\$ 1,282,992
Employee benefits	125,797	21,035	2,575	149,407
Payroll taxes	<u>86,968</u>	<u>17,356</u>	<u>5,152</u>	<u>109,476</u>
Total payroll expenses	1,223,123	250,861	67,891	1,541,875
Depreciation	559,119	114,925	33,274	707,318
Grants	698,061			698,061
Dues and subscriptions	27,732	5,643	1,634	35,009
Equipment rental and maintenance	10,598	2,178	631	13,407
Professional fees	525,358	19,031	5,996	550,385
Insurance	39,624	8,145	2,357	50,126
Credit loss expense	77,427	15,915	4,608	97,950
Marketing and promotion	825		174,697	175,522
Miscellaneous	3,990	821	237	5,048
Occupancy	364,505	74,923	21,692	461,120
Supplies	9,499	1,931	4,847	16,277
Telephone	14,101	2,898	839	17,838
Real estate tax	30,330	6,234	1,805	38,369
Training and seminars	12,919	1,587	738	15,244
Meals	7,971	1,363	436	9,770
Interest expense	<u>49,511</u>	<u>10,177</u>	<u>2,946</u>	<u>62,634</u>
Total	<u>\$ 3,654,693</u>	<u>\$ 516,632</u>	<u>\$ 324,628</u>	<u>\$ 4,495,953</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENTS OF CASH FLOWS

Years Ended December 31, 2024 and 2023

	<u>2024</u>	<u>2023</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Increase (decrease) in net assets	\$ 2,627,158	\$(175,124)
Adjustments to reconcile decrease in net assets to net cash provided by operating activities:		
Depreciation	704,131	707,318
Change in allowance for credit losses	(78,665)	14,792
Write-off on note receivable	-	50,000
Changes in operating assets and liabilities:		
Increase in accounts receivable	(56,301)	(223,858)
(Increase) decrease in grants receivable	(838,670)	504,040
Increase in pledges receivable	(212,672)	-
Increase in prepaid expenses	(18,250)	(20,071)
Decrease in accounts payable	(125,189)	(298,777)
(Decrease) increase in grants payable	(48,432)	71,816
Increase (decrease) in other accrued expenses	165,794	(5,012)
(Decrease) increase in deferred revenue	<u>(357,731)</u>	<u>70,887</u>
Net cash provided by operating activities	1,761,173	696,011
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(2,578,296)	(212,051)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net borrowings (payments) on line of credit	558,546	(422,747)
Payments on long-term debt	<u>(54,463)</u>	<u>(70,234)</u>
Net cash provided (used) by financing activities	<u>504,083</u>	<u>(492,981)</u>
DECREASE IN CASH AND EQUIVALENTS	(313,040)	(9,021)
CASH AND EQUIVALENTS – BEGINNING	<u>878,155</u>	<u>887,176</u>
CASH AND EQUIVALENTS – ENDING	<u>\$ 565,115</u>	<u>\$ 878,155</u>
Supplemental disclosure of cash flow information:		
Cash paid for interest	\$ 81,318	\$ 62,634

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS

Summary of Significant Accounting Policies

A. Nature of Activities – The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator (the "Organization") is an Ohio corporation formed in 1988, whose primary purpose is to accelerate the formation of businesses and job creation and assist in the revitalization and promotion of economic development in the Mahoning Valley. The Organization is supported primarily by contributions and grants, including funding from the Ohio Department of Development Edison Incubator Program.

B. Accounting Method – The Organization's financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America. The Organization has reported information regarding its financial position and activities according to two classes of net assets: without donor restrictions and with donor restrictions.

Net Assets Without Donor Restrictions – Net assets that are not subject to or are no longer subject to donor-imposed restrictions.

Net Assets With Donor Restrictions – Net assets whose use is limited by donor-imposed time and/or purpose restrictions.

C. Use of Estimates – The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

D. Cash and Equivalents – The Organization considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents. The Organization maintains at various financial institutions cash and equivalents which, at times, may exceed federally insured amounts and may significantly exceed statement of financial position amounts due to outstanding checks.

E. Accounts Receivable – The Organization has receivable balances from tenants of \$505,719 and \$449,418 at December 31, 2024 and 2023, respectively. The Organization provides for uncollectible accounts receivable using the allowance method. The Organization estimates an allowance for credit losses based on its review of delinquent accounts, an assessment of the Organization's historical evidence of collections and the current and future condition of the economy as a whole. The allowance for credit losses was \$1,473 and \$80,138 at December 31, 2024 and 2023, respectively.

Changes in the allowance for credit losses for the years ended December 31 were as follows:

	<u>2024</u>	<u>2023</u>
Balance, January 1	\$ 80,138	\$ 65,347
Provisions	21,271	97,950
Write-offs, net of recoveries	<u>(99,936)</u>	<u>(83,159)</u>
Balance, December 31	<u>\$ 1,473</u>	<u>\$ 80,138</u>

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Summary of Significant Accounting Policies (Continued)

- F. Accounts Receivable - Grants – The Organization has grant receivables primarily from government agencies of \$1,259,194 and \$420,524 at December 31, 2024 and 2023, respectively, which are recorded at the amount claimed for reimbursement and are considered to be fully collectible.
- G. Note Receivable – The Organization had a note receivable from a business in the amount of \$50,000 that was written off during 2023.
- H. Pledges Receivable – As of December 31, 2024 and 2023, contributors to the Organization have made written unconditional promises to give totaling \$225,000 and \$-0-, respectively. Management has determined that no allowance for uncollectible promises is necessary. The amounts are recorded at a present value of future cash flows based on a discount rate of 7.75%. Unconditional promises to give are expected to be realized in the following periods:

	<u>2024</u>	<u>2023</u>
In one year or less	\$100,000	\$ -
Between one year and five years	125,000	-
Less discount	<u>(12,328)</u>	<u>-</u>
Pledges receivable, net	<u>\$212,672</u>	<u>\$ -</u>

- I. Contributions – The Organization considers all contributions as without donor restrictions unless specifically restricted by the donor. Donor restricted contributions are reported as increases in net assets with donor restrictions. When a restriction expires, net assets with donor restrictions are reclassified to net assets without donor restrictions.

A portion of the Organization's revenue is derived from cost-reimbursable government grants, which are conditioned upon certain performance requirements and/or the incurrence of allowable qualifying expenses. Amounts received are recognized as revenue when the Organization has incurred expenditures in compliance with specific grant provisions. Amounts received prior to incurring qualifying expenditures are reported as deferred revenue in the statements of financial position. \$357,731 of revenue that was deferred during 2023 was recognized as grant revenue during the year ended December 31, 2024. As of December 31, 2024 and 2023, government grants totaling \$4,523,965 and \$1,792,252, respectively, have not been recognized in the accompanying financial statements because the conditions on which they depend have not been met.

Contributions of services are recognized if the services (a) create or enhance nonfinancial assets or (b) require specialized skills that are provided by individuals possessing those skills and would typically need to be purchased if not provided by donation. There were no contributed services meeting the requirements for recognition in the financial statements for the years ended December 31, 2024 and 2023.

- J. Partnership Interest – The Organization accounts for a partnership interest on the cost method of accounting. At December 31, 2024 and 2023, the value of the Organization's investment in the partnership was \$50,000, a 2.12% ownership stake, and is reflected on the statements of financial position as partnership interest.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Summary of Significant Accounting Policies (Continued)

- K. Property and Equipment – Property and equipment is recorded at cost. Donations of property and equipment are recorded as support at their estimated fair value. Such donations are reported as without donor restriction support unless the donor has restricted the donated asset for a specific purpose. Assets donated with explicit restrictions regarding their use and contributions of cash that must be used to acquire property and equipment are recorded as restricted support. Absent donor stipulations regarding how long those donated assets must be maintained, the Organization reports expirations of donor restrictions when the donated or acquired assets are placed in service as instructed by the donor.

Depreciation is computed over the estimated useful life of the asset using the straight-line method. Maintenance, repairs and minor renewals are charged to expense when incurred, while additions and major betterments are capitalized.

- L. Grants Payable – The Organization received several grants which require payments to subrecipients based upon qualifying reimbursable grant expenditures. The balances of \$48,862 and \$97,294 at December 31, 2024 and 2023, respectively, represent payments required based upon reimbursable expenses incurred by the respective subrecipient grantees. The Organization was conditionally committed to pay approximately \$745,000 related to grant expenses as of December 31, 2024. The grants will be paid upon the condition that the Organization receives funding from federal and state sources. Due to their conditional nature, these commitments are not recorded in the financial statements of the Organization at December 31, 2024.
- M. Revenue Recognition – Program service revenue is recorded at established billing rates as services are rendered. Program services include workshops, seminars and additive manufacturing production and development. For the years ended December 31, 2024 and 2023, revenue from performance obligations satisfied at a point in time consist of all of the Organization's program service revenue.
- N. Functional Expenses – The costs of program and supporting services activities have been summarized on a functional basis in the statements of activities. The statements of functional expenses present the natural classification detail of expenses by function. Accordingly, costs have been allocated among the programs and supporting services benefited on the basis of estimates of time and effort.
- O. Tax Status – The Organization is a not-for-profit organization that is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code. The Organization's Forms 990, Return of Organization Exempt from Income Tax, are subject to examination by the IRS, generally for three years after they were filed.
- P. Subsequent Events – The Organization has evaluated subsequent events through September 9, 2025, which is the date the financial statements were available to be issued.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Note 1. Property and Equipment

Property and equipment at December 31, 2024 and 2023 consists of the following:

	<u>2024</u>	<u>2023</u>
Land and building	\$ 17,723,648	\$ 15,299,725
Building improvements	3,375,036	3,247,831
Office equipment and furniture	1,070,398	982,325
Furnishings and equipment	167,336	163,793
Construction in progress	<u>57,156</u>	<u>121,604</u>
	22,393,574	19,815,278
Less: accumulated depreciation	<u>8,730,051</u>	<u>8,025,920</u>
Property and equipment, net of accumulated depreciation	<u>\$ 13,663,523</u>	<u>\$ 11,789,358</u>
Depreciation expense for the year ended is:	<u>\$ 704,131</u>	<u>\$ 707,318</u>

Land and building and building improvements totaling \$21,098,684 and \$18,547,556 with accumulated depreciation of \$7,783,700 and \$7,142,878, as of December 31, 2024 and 2023, respectively, are predominately available to businesses in Mahoning Valley as operating leases to support and assist in economic development and revitalization.

Note 2. Liquidity and Availability

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of the statement of financial position date, comprise the following:

	<u>2024</u>	<u>2023</u>
Cash and equivalents	\$ 565,115	\$ 878,155
Accounts receivable, net	504,246	369,280
Accounts receivable - grants	1,259,194	420,524
Pledges receivable, net	<u>212,672</u>	<u>-</u>
Total financial assets as of December 31	2,541,227	1,667,959
Less amounts not available to meet cash needs for general expenditure within one year:		
Subject to expenditure for timing or specified purpose	<u>(810,589)</u>	<u>(437,408)</u>
Financial assets available to meet cash needs for general expenditures within on year	<u>\$ 1,730,638</u>	<u>\$ 1,230,551</u>

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Note 2. Liquidity and Availability (Continued)

The Organization considers contributions restricted for programs which are ongoing, major and central to its annual operations to be available to meet cash needs for general expenditures. The Organization manages its liquidity and reserves following three guiding principles: operating within a prudent range of financial soundness and stability, maintaining adequate liquid assets to fund near-term operating needs and maintain sufficient reserves to provide reasonable assurance that long-term obligations will be discharged.

Note 3. Net Assets With Donor Restrictions

Net assets with donor restrictions at December 31, 2024 and 2023 are available for the following purpose:

	<u>2024</u>	<u>2023</u>
<u>Subject to expenditure for timing or specified purpose:</u>		
YBI Main Renovations	\$ 596,917	\$ 406,918
Pledges	212,672	-
Additive Programs	1,000	-
Xjet	-	25,000
IYBI	<u>-</u>	<u>5,490</u>
Total net assets with donor restrictions	<u>\$ 810,589</u>	<u>\$ 437,408</u>

Note 4. Lines of Credit

The Company has a line of credit agreement in the amount \$500,000. The line of credit is collateralized by equipment and bore interest at 8.50% and 9.50% at December 31, 2024 and 2023, respectively. Total borrowings amounted to \$180,000 and \$174,000 at December 31, 2024 and 2023, respectively. The line of credit is payable on demand.

In 2024, the Company entered into a second line of credit agreement in the amount of \$1,500,000. The line of credit is collateralized by the building and bore interest at 7.75% at December 31, 2024. Total borrowings amounted to \$552,546 at December 31, 2024 and the line of credit was paid off on April 3, 2025.

Note 5. Long-Term Debt

Long-term debt at December 31, 2024 and 2023 consisted of the following:

	<u>2024</u>	<u>2023</u>
Note payable - mortgage company, monthly installments of \$3,250 are due including interest at 3.70% fixed through July 2027. The loan is collateralized by buildings and rent assignments.	\$804,134	\$834,783
Note payable - monthly installment payments of \$2,156 are due including interest at 5.75% through December 2025. The loan is collateralized by equipment.	<u>26,446</u>	<u>50,260</u>
	<u>\$830,580</u>	<u>\$885,043</u>

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Note 5. Long-Term Debt (Continued)

Maturities of long-term liabilities are as follows:

2025	\$ 58,674
2026	33,441
2027	<u>738,465</u>
	<u>\$830,580</u>

Note 6. Rental Income

The Organization leases office and industrial space to various tenants with leases expiring through August 2032. Future minimum rental payments expected in years ended December 31 are as follows:

2025	\$ 385,367
2026	292,702
2027	292,702
2028	292,702
2029	292,702
Thereafter	<u>780,537</u>
	<u>\$2,336,712</u>

Note 7. Commitments and Contingencies

The Organization has various commitments related to its acceptance of federal, state and local grants.

In May 2015, the Organization was granted appropriations in the amount of \$1,500,000 from the Ohio Board of Regents, which were passed through Youngstown State University ("YSU") as part of a joint use agreement, to renovate the Vindicator Building. During the term of the agreement, YSU will receive use of various space and use of additive manufacturing laboratory and testing equipment for a period of twenty years. In the event that YSU's right to use the building is terminated prior to the expiration of the twenty year term of the agreement, the Organization is required to reimburse the State of Ohio the prorated share of the funds received.

The Organization secured grant funding in the amount of \$3,000,000 to renovate the Vindicator Building. The project was completed in 2017 when the building was placed in service. The grant is subject to potential repayment if the building is not used for the intended purpose for a period of twenty years after the building is placed in service.

**THE YOUNGSTOWN EDISON
INCUBATOR CORPORATION dba
YOUNGSTOWN BUSINESS INCUBATOR**

UNIFORM GUIDANCE AUDIT REQUIREMENTS

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS

Year Ended December 31, 2024

Federal Grantor/Pass-Through Grantor/Program Title	Grant Number	Assistance Listing Number	Passed Through to Subrecipients	Total Federal Expenditures
U.S. Department of Commerce Economic Adjustment Assistance Direct	06-79-06300	11.307	\$ -	\$1,872,050
U.S. Department of Defense: Basic and Applied Scientific Research Passed through the National Center for Defense Manufacturing and Machining	N00174-20-1-0031	12.300	-	421,616
Air Force Defense Research Sciences Program Passed through the National Center for Defense Manufacturing and Machining, America Makes National Additive Manufacturing Innovation Institute Project	FA8650-20-2-5700	12.800	-	647,116
Total U.S. Department of Defense			-	1,068,732
U.S. Department of Housing and Urban Development: Community Development Block Grants/Entitlement Grants Passed through the City of Youngstown	B-19-MC-39-0023	14.218	-	44,077
Appalachian Regional Commission: Appalachian Area Development Direct	PW-20599-IM-22	23.002	-	617,109
Direct	PW-20599-IM-24	23.002	59,565	132,803
Passed through Green Building Alliance	ARC23C21347	23.002	-	21,505
Total Appalachian Regional Commission			59,565	771,417
U.S. Small Business Administration: Prime Technical Assistance Passed through Congressional Earmark	SBAHQ22I0106	59.059	47,059	102,359
Passed through Congressional Earmark	SBAHQ23I0020	59.059	-	255,372
Total U.S. Small Business Administration			47,059	357,731
Total federal assistance			\$ 106,624	\$4,114,007

The accompanying notes are an integral part of this schedule.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS

Year Ended December 31, 2024

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator (the "Organization") under programs of the federal government for the year ended December 31, 2024. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the "Uniform Guidance"). Because the Schedule presents only a selected portion of the operations of the Organization, it is not intended to and does not present the financial position, changes in net assets or cash flows of the Organization.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited in reimbursement. The Organization has elected to use the 10% de minimis indirect cost rate allowed under the Uniform Guidance.



+ 1111 Superior Avenue, Suite 700, Cleveland, Ohio 44114

+ p 216.363.0100 | f 216.363.0500

+ www.maloneynovotny.com

Independent Auditors' Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an Audit of Financial
Statements Performed in Accordance With Government Auditing Standards

Board of Directors
The Youngstown Edison Incubator Corporation
dba Youngstown Business Incubator
Youngstown, Ohio

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator (the "Organization"), which comprise the statement of financial position as of December 31, 2024, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements, and have issued our report thereon dated September 9, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Organization's internal control over financial reporting ("internal control") as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control. Accordingly, we do not express an opinion on the effectiveness of the Organization's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and, therefore, material weaknesses or significant deficiencies may exist that have not been identified. We did identify certain deficiencies in internal control, described in the accompanying schedule of findings and questioned costs as item 2024-001, that we consider to be a material weakness.

Independent Auditors' Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an Audit of Financial
Statements Performed in Accordance With Government Auditing Standards (Continued)

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Organization's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

We noted certain matters that we reported to management of the Organization in a separate letter dated September 9, 2025.

The Organization's Response to Findings

The Organization's response to the finding identified in our audit is described in the accompanying schedule of findings and questioned costs. The Organization's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Organization's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



Cleveland, Ohio
September 9, 2025



+ 1111 Superior Avenue, Suite 700, Cleveland, Ohio 44114

+ p 216.363.0100 | f 216.363.0500

+ www.maloneynovotny.com

Independent Auditors' Report on Compliance for Each Major Program
and on Internal Control Over Compliance Required by the Uniform Guidance

Board of Directors
The Youngstown Edison Incubator Corporation
dba Youngstown Business Incubator
Youngstown, Ohio

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator's (the "Organization"), compliance with the types of compliance requirements identified as subject to audit in the U.S. Office of Management and Budget ("OMB") *Compliance Supplement* that could have a direct and material effect on the Organization's major federal program for the year ended December 31, 2024. The Organization's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the Organization complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on its major federal program for the year ended December 31, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America ("GAAS"); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* ("Uniform Guidance"). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Organization and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Organization's compliance with the compliance requirements referred to above.

Independent Auditors' Report on Compliance for Each Major Program
and on Internal Control Over Compliance Required by the Uniform Guidance (Continued)

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Organization's federal programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Organization's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and, therefore, is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Organization's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Organization's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Organization's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

The results of our auditing procedures disclosed instances of noncompliance, which are required to be reported in accordance with the Uniform Guidance and which are described in the accompanying schedule of findings and questioned costs as item 2024-002. Our opinion on the major federal program is not modified with respect to these matters.

Independent Auditors' Report on Compliance for Each Major Program
and on Internal Control Over Compliance Required by the Uniform Guidance (Continued)

Government Auditing Standards required the auditor to perform limited procedures on the Organization's response to the noncompliance findings identified in our compliance audit described in the accompanying schedule of findings and questioned costs. The Organization's response was not subjected to the auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control Over Compliance

A *deficiency in internal control* over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



Cleveland, Ohio
September 9, 2025

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

Year Ended December 31, 2024

Section I - Summary of Auditor's Results

Financial Statements

Type of report the auditor issued on whether the
financial statements audited were prepared in
accordance with GAAP:

Unmodified

Internal control over financial reporting:

Material weakness(es) identified?

<u>X</u>	yes	<u> </u>	no
<u> </u>	yes	<u>X</u>	none reported

Significant deficiency(ies) identified?

Noncompliance material to financial statements
noted?

<u> </u>	yes	<u>X</u>	no
-------------------	-----	----------	----

Federal Awards

Internal control over major federal programs:

Material weakness(es) identified?

<u> </u>	yes	<u>X</u>	no
<u> </u>	yes	<u>X</u>	none reported

Significant deficiency(ies) identified?

Type of auditor's report issued on compliance
for major federal programs:

Unmodified

Any audit findings disclosed that are required to
be reported in accordance with 2 CFR section
200.516(a)?

<u>X</u>	yes	<u> </u>	no
----------	-----	-------------------	----

Identification of major federal programs:

Assistance Listing Number(s)

Name of Federal Program or Cluster

11.307

Economic Adjustment Assistance

Dollar threshold used to distinguish between
Type A and Type B programs:

\$750,000

Auditee qualified as a low risk auditee?

<u> </u>	yes	<u>X</u>	no
-------------------	-----	----------	----

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

SCHEDULE OF FINDINGS AND QUESTIONED COSTS (CONTINUED)

Year Ended December 31, 2024

Section II - Financial Statement Findings

Finding 2024-001 Material Weakness

Condition:

Federal and state reimbursements on capital expenditures were netted against the initial costs incurred by the Organization resulting in an understatement of grant revenue and property and equipment.

Criteria:

Reimbursements for costs incurred by the Organization should be recorded as revenue.

Cause:

The Organization was unaware of the proper recording for cost reimbursements.

Effect:

Financial statement amounts could be materially misstated.

Repeat finding:

This is not a repeat finding.

Recommendation:

Reimbursements for costs incurred by the Organization should be recorded as revenue in accordance with accounting principles generally accepted in the United States of America.

Views of responsible officials:

Management concurs with this recommendation. See also corrective action plan.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

SCHEDULE OF FINDINGS AND QUESTIONED COSTS (CONTINUED)

Year Ended December 31, 2024

Section III - Federal Award Findings and Questioned Costs

Finding 2024-002 Late Single Audit Submission

Condition:

The Organization has not timely submitted the Single Audit Reporting Packages for the year ended December 31, 2023.

Criteria:

2 CFR 200.512(a)(1) states that the audit, the data collection form, and the reporting package must be submitted within 30 calendar days after the auditee receives the auditor's report or nine months after the end of the audit period (whichever is earlier).

Cause:

Due to delays in the audit process, the December 31, 2023 audit was not completed until after the submission deadline.

Effect:

Financial statement amounts could be materially misstated.

Repeat finding:

This is not a repeat finding.

Questioned costs:

N/A

Recommendation:

We recommend that the audit and submission of the data collection form be completed in a timely manner.

Views of responsible officials:

Management concurs with this recommendation. See also corrective action plan.



CORRECTIVE ACTION PLAN

Year Ended December 31, 2024

Finding Number: 2024-001

Finding: Federal and state reimbursements on capital expenditures were netted against the initial costs incurred by the Organization resulting in an understatement of grant revenue and property and equipment.

Planned Corrective Action: The Organization will record revenue on reimbursements for costs incurred by the Organization and will expense or capitalize these amounts in accordance with GAAP for the year ended December 31, 2025.

Finding 2024-002

Finding: The Organization has not timely submitted the Single Audit Reporting Packages for the year ended December 31, 2023.

Planned Corrective Action: The Organization will submit the Single Audit Reporting Packages for the year ended December 31, 2024 in accordance with 2 CFR 200.512(a)(1).

Responsible Contact Person: Barbara Ewing, Chief Executive Officer